RESEARCH NOTE

Listening to Your Customers: The Impact of Perceived Salesperson Listening Behavior on Relationship Outcomes

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A thorough understanding of how businesses gain and maintain long-term relationships with clients is critical in today's environment. This study develops a scale for salesperson listening behavior and investigates the impact of customers' perceptions of salespeople's listening behavior on trust, satisfaction, and anticipation of future interaction. A structural equations model is developed and empirically tested using a sample of new car buyers. The research results suggest that listening is a higher-order construct composed of three dimensions: (a) sensing, (b) evaluating, and (c) responding. When customers perceive a high level of listening behavior by a salesperson, it enhances their trust in the salesperson and leads to greater anticipation of future interaction. Implications and future research issues are discussed.

A good listener is not only popular everywhere, but after a while he knows something.—Wilson Mizner, American dramatist (Van Ekeren 1988, 71)

Listening is the most used but least understood component of communication processes. Poor listening costs American business billions of dollars (Brownell 1990; Steil, Barker, and Watson 1983) and is one of the primary causes of salesperson failure (Ingram, Schwepker, and Hutson 1992). Fortunately, listening is a learned skill that can be improved and measured (Devine 1978), and its importance as a trainable skill is conveyed by Churchill, Ford, Hartley, and Walker (1985) in their meta-analysis on salesperson performance.

Despite the fact that listening is presumed to be a critical skill for successful salespeople to build trusting, open relationships with customers, very little empirical work has been published in the area. As Castleberry and Shepherd (1993) comment, "We were unable to identify a single study which empirically assessed the listening ability of salespeople and related it to any other measures" (p. 35).

The purpose of our study is to (1) develop a scale for measuring salesperson listening and (2) demonstrate the impact of customers' perceptions of salesperson listening behavior on trust, satisfaction, and anticipation of future interactions. We first provide a brief background on listening. We then develop a conceptual model (shown in Figure 1) and discuss the hypothesized relationships between the constructs. Next, we test our model using data collected from new car buyers. Finally, we discuss the results, implications, limitations, and directions for future research.

THEORY AND HYPOTHESES

Salesperson listening has been defined as "the cognitive process of actively sensing, interpreting, evaluating and

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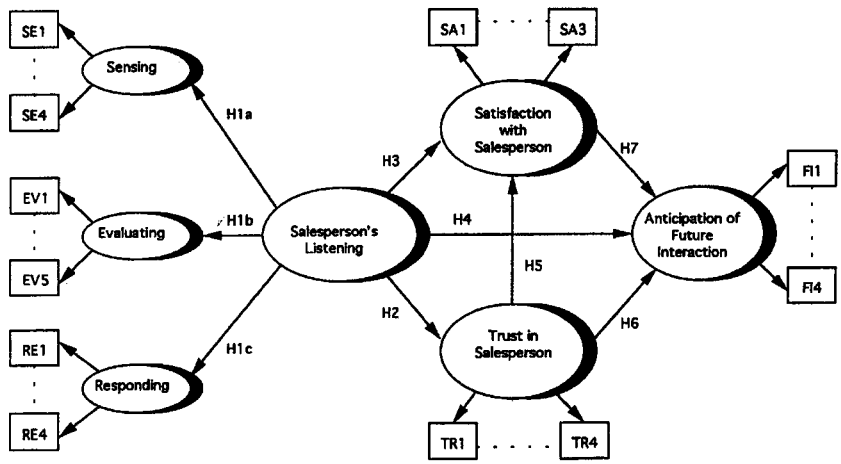
FIGURE 1
Conceptual Model



NOTE: Salesperson's listening is a second-order factor. To reduce clutter, only two indicants are shown for each first-order factor.

responding to the verbal and nonverbal messages of present or potential customers" (Castleberry and Shepherd 1993, p. 36). Many other definitions of listening are offered in the literature (see Table 1 for examples of listening definitions from various disciplines). These definitions reflect the complexity of the construct and the various approaches taken by researchers. Effective listening goes beyond merely hearing what the other person is saying to actually getting the meaning of what is being said. As DiGaetani (1980) indicates, "It requires serious attention and critical hearing, both concentration and penetration, both memory and knowledge" (p. 42). Listening requires salespeople to fully attend to, comprehend, and respond to each individual client.

The Components of Salesperson Listening

Listening is a very complex process involving both behavioral and cognitive activities (Greene 1988). These activities require progressively more elaborate information processing and decision making on the part of the listener (Lundsteen 1979). Theory suggests there are essentially three components of listening (Steil et al. 1983). Each component requires unique skills, but all work together to create a higher-order listening construct. The first component is *sensing*, which indicates receiving stimuli and attending to the message. The second component is *evaluating*. This consists of those cognitive processes that allow the message receiver to assign meaning and value to the message. The third component is *responding*, which allows the receiver to develop and display an appropriate reaction to the message. Each component is discussed briefly as it relates to buyer-seller interactions.

Sensing. The listening process is initiated by the salesperson actually hearing or sensing incoming stimuli from the customer. These stimuli could be verbal or nonverbal, such as actual words, tone of voice, gestures, and so forth (Mead 1986). It is critical for the salesperson to be able to become aware of the message and to filter out "noise" so that she or he is attending primarily to the message from the buyer (Castleberry and Shepherd 1993). Customers can perceive when a salesperson is actively sensing what is being said by noticing if she or he maintains eye contact, focuses on the conversation, and engages in other nonverbal behaviors that facilitate the gathering of incoming stimuli (Yrle and Galle 1993).

Evaluating. This component of the listening process involves cognitive processes that allow the salesperson to assign meaning to the message and determine its importance. This is the stage that draws on the current scripts and knowledge structures of the salesperson (Leong, Busch, and Roedder John 1989). The salesperson must quickly assess the situation and determine what meaning the message actually conveys. The salesperson may need to paraphrase the conversation to ensure that the message is not distorted. The salesperson must not only focus on the message but also assess such facts as buying motives, buying style, buyers' communication skills, and possible objections, as well as determine if the appropriate buying situation knowledge exists in memory. Customers perceive that their message is being actively evaluated by the salesperson when she or he does not interrupt the speaker or change the subject, tries hard to understand what is being said, and, where pertinent, paraphrases questions and asks for more details (Brody 1994).

Responding. The third component of listening is responding. A behavioral response is necessary for further communication to take place. The purpose of responding may be to inform, control, share feelings, or ritualize (Allen and Brown 1976; Mead 1986). Unless the seller chooses to terminate the interaction, most responses may

TABLE 1
Some Definitions of Listening

Source	*Definition*
Yrle and Galle (1993)	Active listening means listening well and demonstrating an interest in what is being said.
Castleberry and Shepherd (1993, p. 36)	The cognitive process of actively sensing, interpreting, evaluating, and responding to the verbal and nonverbal messages of present or potential customers.
Hennings (1992, p. 3)	To listen is not just to hear; it is the active construction of meaning from all the signals—verbal and nonverbal—a speaker is sending.
Lewis and Reinsch (1988, p. 58)	A set of interrelated activities, including apparent attentiveness, nonverbal behavior, verbal behavior, perceived attitudes, memory, and behavioral responses.
The Institute of Financial Education (1988, p. 88)	The process of receiving sights and sounds, attending to them, and assigning meaning.
Goss (1982, p. 304)	A process of taking what you hear and organizing it into verbal units to which you can apply meaning.
Goss (1982, p. 307)	A problem-solving task that is centered on answering the question, "What does the speaker mean?"
Devine (1978, p. 302)	A matter of processing the incoming meaningful sounds into syntactical and then into larger units, so that the listener can make sense of the sounds.
Weaver (1972, p. 12)	The selection and retention of aurally received data.

be for the purpose of requiring some activity on the part of the buyer. Customers get a feeling that the salesperson is responding appropriately to the conversation when she or he answers at appropriate times, is eager in his or her response, offers relevant information to the questions asked, and tries to answer in full sentences rather than just saying yes or no.

Based on the preceding discussion, we hypothesize the following:

H1: Perceived salesperson listening behavior is a higher-order construct composed of three dimensions: (a) sensing, (b) evaluating, and (c) responding.

Proposed Relational Outcomes of Perceived Salesperson Listening Behavior

The importance of listening in all human interactions should not be underestimated. One who listens to us respects us and, in turn, a mutual exchange process begins. Clearly, there are many positive and beneficial outcomes from this exchange, but of primary importance in the buyer-seller interaction are the results that promote long-term relationships. In this study, we examine the impact of customers' perceptions of salesperson listening behavior on three traditionally used relationship outcome variables: (a) trust in the salesperson, (b) satisfaction with the salesperson, and (c) anticipation of future interactions (cf. Crosby, Evans, and Cowles 1990; Swan and Oliver 1991).

Trust in the salesperson. A customer's trust in a salesperson may be defined as "a confident belief that the salesperson can be relied upon to behave in such a manner that the long-term interest of the customer will be served" (Crosby et al. 1990, p. 70). It is widely recognized that trust plays a vital role in buyer-seller relationships, and in the channels literature, studies have found a positive association between communication and trust (Morgan and Hunt 1994). Listening is an important component of communication, and even though it has been suggested that salespeople need to listen to their customers to develop a trusting relationship (cf. Farrant 1996), nobody has examined this relationship empirically.

Listening helps salespeople gather information and understand their customers' needs better. When customers perceive that a salesperson is listening to what they are saying and working hard to fulfill their needs, they feel that the salesperson is honestly interested in them and is more trustworthy (Swan and Oliver 1991). As Stettner (1988) indicates, "By asking the right questions and creating an atmosphere of fairness and genuine concern, he builds trust and gives his guests the freedom to express themselves openly" (p. 44). Hence we propose the following:

H2: There is positive association between customers' perceptions of salesperson listening behavior and their trust in the salesperson.

Satisfaction with the salesperson. A customer's satisfaction with the salesperson reflects an emotional state that occurs in response to an evaluation of the interaction experience that the customer has with the salesperson (Crosby et al. 1990). We expect a positive association between perceived salesperson listening behavior and customer satisfaction. This expectation is based on the interpersonal needs theory (Schutz 1966), which states that people have certain interpersonal needs that must be fulfilled for their interaction experience to be rewarding. These needs may concern the feeling of being included in the communication process, perceiving a sense of authority and control in decision making, and the need to be liked and treated with respect (Cragan and Wright 1991). It is thought that when people's interpersonal needs are met, they are more likely to stay and build a relationship. Conversely, if these needs are not met, they are likely to be dissatisfied with their experience (Anderson and Martin 1995).

A salesperson's listening behavior plays a crucial role in meeting these needs and expectations. When customers perceive that a salesperson listens actively to what they say

and responds in an appropriate manner, they may feel that their interpersonal needs of inclusion, control, and affection are being fulfilled, and hence they are more likely to be satisfied in their dealings with that salesperson. Empirical support for this relationship is provided by Anderson and Martin (1995), who found a positive association between satisfaction and different facets of listening (attentiveness, perceptiveness, and responsiveness) in the context of group communication behavior. Hence we propose the following:

H3: There is positive association between customers' perceptions of salesperson listening behavior and their satisfaction with the salesperson.

Anticipation of future interaction. Anticipation of future interaction reflects the nature of the intended relationship that the customer has with the salesperson. Low expectations of future interaction would be an outgrowth of current relational problems, whereas high expectations of future interaction would reflect a favorable perception of the current relationship (Kellerman 1987).

A considerable amount of research has examined the impact of active listening on practitioner-client relationships (e.g., Hepworth and Larsen 1986; Nugent 1992). According to Hepworth and Larsen (1986), listening enhances the practitioner-client relationship, thereby increasing the probability of a positive service outcome. Similarly, Nugent (1992) indicates that listening creates a positive impact on clients and thus has a positive affective influence on the practitioner-client relationship.

We hypothesize a positive relationship between customers' perception of salesperson listening behavior and their anticipation of future interaction with the salesperson. When customers perceive that a salesperson is listening to what they are saying, they may feel cared for and understood and more inclined to interact with that salesperson again. Thus,

H4: There is positive association between customers' perceptions of salesperson listening behavior and customers' anticipation of future interaction with the salesperson.

Interrelationships Between the Outcome Variables

One relationship that has been well established in dyadic research is that trust of a person influences the level of satisfaction with that person (e.g., Crosby et al. 1990), and this occurs in a spiraling fashion in that trust can be self-heightening or self-deflating (Dwyer and Lagace 1986; Zand 1972). We propose that customers' trust of the salesperson will be positively related to satisfaction with that salesperson.

H5: There is a positive relationship between customers' trust in the salesperson and satisfaction with the salesperson.

We also propose that a customer's anticipation of future interaction with a salesperson depends on the level of trust and satisfaction with that salesperson. The more trusting a relationship, the more valued it becomes, and both parties prefer to maintain the relationship than to begin a new exchange process where uncertainty exists (Macintosh, Anglin, Szymanski, and Gentry 1992). If the buyer trusts the seller, he or she will be more inclined to want to work with this same seller again (Morgan and Hunt 1994). Similarly, buyer-seller interactions that result in positive experiences should lead to the continuation of the relationship (Crosby et al. 1990). Hence, if a customer is satisfied with the salesperson, he or she would want to continue doing business with that salesperson. Support for these relationships in a services context is provided by Crosby et al. (1990), who found that relationship quality had a significant influence on customers' anticipation of future interaction with the salesperson. The preceding discussion suggests the following hypotheses:

H6: There is a positive relationship between customers' trust in the salesperson and anticipation of future interaction with the salesperson.

H7: There is a positive relationship between customers' satisfaction with the salesperson and anticipation of future interaction with the salesperson.

METHODOLOGY

Research Setting and Data Collection

Because the primary focus of the study is on listening behaviors and relationship outcomes, our objective was to collect data in an industry where customer satisfaction is a primary concern. The automobile industry seems to fit this context very well. Over the years, it has changed its strategy from transaction selling to relationship selling. As Sewell and Brown (1990) state, "How much could a person spend with you in the course of a lifetime? That's the question we ask every time we meet with a customer. You don't want to deal with somebody just once; you want his business forever. We don't want to sell a customer just one car, but ten or twenty in coming years" (p. 161).

Most listening research has been undertaken from the listener's perspective using the self-report approach (cf. Bostrom and Waldhart 1980; Rubin 1982; Watson and Barker 1983). However, we chose to look at customers' perceptions of salespeople's listening behavior for a variety of reasons: (1) customers are the actual observers of salesperson behavior, and their perceptions should be evaluated (Michaels and Day 1985); (2) listening is manifested by behaviors, even though it is an internal process (Brownell 1990); (3) the perception of effective listening is vital (Brownell 1990); (4) perceived listening may be more important than actual listening (Lewis and Reinsch 1988); and (5) individuals have little introspective access to cognitive processes so that self-report measures may be problematic (Nisbett and Wilson 1977).

The data for this study were collected through a mail survey of 500 new car buyers. The list of buyers was randomly generated by a new car dealership of customers who had purchased their automobile within the past 6 months. A total of 173 usable questionnaires were returned to the university in a postage-paid envelope, giving a response rate of 34.6 percent. The respondents consisted of 121 men and 52 women. Their average age was 42 years. Sixty percent of the respondents had a college degree or some college education. The median household income was $46,000. Seventy-two percent of the respondents were married and, on average, each respondent had purchased six new cars in his or her lifetime. These demographics suggest experienced car buyers.

Recency of purchase ranged from a few days to 6 months, with the average time interval between car purchase and response to our survey being 3 months. A number of the items in our scales asks the respondents to recall their perceptions of specific salesperson behaviors. To check for any bias in the data due to time-dependent forgetting effects, we used MANOVA with post hoc comparisons (all the model constructs being the dependent variables) to compare the two extreme groups—those who had their car less than a month prior to responding to our questionnaire with those who had their car for at least 5 to 6 months. Both the univariate F-tests and the multivariate test statistics (Wilks's lambda, Pillai trace, and Hotelling-Lawley trace) indicated no statistically significant difference between the two groups, implying that there is no bias in the data because of the recency or lateness of purchase.

To detect problems with nonresponse bias, we divided the data into quartiles based on when the returned questionnaire was received. The first quartile represented the earliest responses and the fourth quartile the latest responses. T-tests between cases in the two quartiles (Armstrong and Overton 1977) indicated that no statistically significant differences existed in the mean responses on any variables.

Measures

All the constructs were operationalized by multi-item measures using 7-point Likert scales, ranging from 1 = *strongly disagree* to 7 = *strongly agree*. The scale items are shown in the Appendix.

Salesperson listening. Listening was conceptualized as a higher-order construct consisting of three factors: (a) sensing, (b) evaluating, and (c) responding. Each factor was operationalized by scales developed for this study. The initial step in the scale development process was the generation of the potential scale items. To do this, 80 students in an evening marketing class were asked to think back to the last time they purchased something from a salesperson and indicate the behaviors by which they knew the salesperson was listening to them. These behaviors were listed, and the items that appeared at least twice were included in the initial scale. This scale was purified, as described in the next section. In the final scale, the *sensing* component of listening was measured by four items that assessed the customer's perception of the degree to which a salesperson sensed the incoming stimuli (coefficient alpha = .80); *evaluating* was measured by five items that assessed customer perceptions of the degree to which a salesperson assigned meaning to the message (coefficient alpha = .64); and *responding* was measured by four items that assessed customer perceptions of the extent to which a salesperson developed and displayed an appropriate reaction to the message (coefficient alpha = .91). The following statement preceded the items for these scales in the questionnaire mailed to the respondents:

> Think back to when you were purchasing your new car. When you interacted with your new car salesperson, indicate your opinion about how well the salesperson was *listening* to you.

For validation purposes, we asked salespeople who worked at the dealership to do a self-assessment of their listening skills with scales appropriately modified. T-tests revealed no significant differences between the customer scores and the salespeople scores on any of the three listening behavior dimensions, suggesting that the customers' perceptions of listening behavior were in agreement with salespeople's self-perception.

Trust. Customers' trust in the salesperson was operationalized by a 4-item scale from MacDonald, Kessel, and Fuller (1972) and Lagace, Dahlstrom, and Gassenheimer (1991). The scale items reflected the degree to which a customer believed that the salesperson could be relied on to behave in a manner that would be in the best interest of the customer (coefficient alpha = .94).

Satisfaction. This construct was operationalized by a 3-item scale that reflected the customer's degree of satisfaction with the experience of interacting with the salesperson (coefficient alpha = .94) and was adapted from Lagace et al. (1991).

Anticipation of future interaction. Anticipation of future interaction was operationalized by a 4-item scale that assessed the customer's desire to do future business with the salesperson (coefficient alpha = .97) and was adapted from Crosby et al. (1990).

Reliability and Validity of Measures

To purify the initial measures and test for the internal consistency of the scales, we used a combination of exploratory factor analysis and item-to-total correlations. Based on these, we dropped those items that had low item-to-total correlations, as well as the items that had low factor loadings or loadings on multiple factors. This was followed by a confirmatory factor analysis to test the dimensionality of the constructs. The confirmatory factor models were estimated by the elliptically reweighted least squares (ERLS) estimation method because of its advantages over the maximum likelihood (ML) procedure (for a discussion, see Anderson and Gerbing 1988).

TABLE 2
Chi-Square Difference Tests for Assessing Discriminant Validity

Construct Pair	χ^2 *Value*	$\Delta\chi^2$ *(15* df)	p *Value*
Unconstrained model (236 *df*)	575.1000	—	—
Constrained models (251 *df*)			
Sensing—evaluation	703.98	128.88	$p < .001$
Sensing—responding	759.04	183.94	$p < .001$
Sensing—trust	1,220.65	645.55	$p < .001$
Sensing—satisfaction	1,324.84	749.74	$p < .001$
Sensing—future interaction	1,236.36	661.26	$p < .001$
Evaluation—responding	686.24	111.14	$p < .001$
Evaluation—trust	1,070.95	495.85	$p < .001$
Evaluation—satisfaction	1,123.32	548.22	$p < .001$
Evaluation—future interaction	1,075.92	500.82	$p < .001$
Responding—trust	1,371.31	796.21	$p < .001$
Responding—satisfaction	1,475.10	900.00	$p < .001$
Responding—future interaction	1,426.44	851.34	$p < .001$
Trust—satisfaction	861.81	286.71	$p < .001$
Trust—future interaction	1,042.01	466.91	$p < .001$
Satisfaction—future interaction	987.89	412.79	$p < .001$

NOTE: In the constrained model, the covariance between the factor pair being tested was fixed at 1, and the covariance between the remaining factor pairs was constrained to equality. This provides the additional 15 degrees of freedom.

For the unidimensional constructs (customer trust, satisfaction, and anticipation of future interaction), we tested first-order confirmatory factor models where every item was restricted to load on its *a priori* specified factor. In all these models, the cogeneric items loaded significantly on their prespecified factors, none of the measurement errors was correlated, and goodness-of-fit measures indicated adequacy of model fit. This provided evidence of construct unidimensionality.

For listening, which was hypothesized to be a higher-order construct, we tested the underlying factor structure using a second-order confirmatory factor model. Specifically, listening was viewed as being composed of three first-order factors: (a) sensing, (b) evaluating, and (c) responding. In the model that was tested, the observed items were hypothesized to originate from the three first-order factors. These first-order factors in turn originated from the second-order factor model representing listening. Although the overall chi-square statistic for this model was significant ($\chi^2(62) = 187.75, p < .001$), the other goodness-of-fit measures suggested a satisfactory fit to the data—comparative fit index (CFI) = .96, normed fit index (NFI) = .95, nonnormed fit index (NNFI) = .96, average off-diagonal standardized residual (AOSR) = .04.

Next, we tested for discriminant validity using the procedure suggested by Gerbing and Anderson (1988). Taking one pair of factors at a time, we compared the unconstrained confirmatory factor analysis model (where all factors were allowed to covary freely) with a constrained model in which the covariance between one factor pair was constrained to unity (implying that there was no discrimination between the two factors), and the covariance between the remaining factor pairs was constrained to equality (Hughes, Price, and Marrs 1986). A significant chi-square difference (with 15 *df*) between the constrained and unconstrained factor models provided evidence of discriminant validity between the pair of factors being tested (Anderson and Gerbing 1988; Bagozzi 1980, p. 142). A series of models was estimated, repeating this procedure for all first-order factor pairs. As seen in Table 2, chi-square differences between the constrained and unconstrained models are highly significant ($p < .001$) for all the first-order factors, providing sufficient evidence of discriminant validity.

Having established the validity and dimensionality of the scales, we assessed their reliabilities using Cronbach's alpha. Other than the evaluating dimension of active listening (which has an alpha = .64), all first-order factors have alphas ranging from .80 to .97, indicating high levels of reliability. The preceding tests indicated that our scales had adequate measurement properties and were appropriate for further analyses.

Analysis and Results

The data were analyzed with EQS, using the elliptically reweighted least squares (ERLS) estimation method. The measurement and structural models were estimated simultaneously, with each scale item loading on the corresponding first-order factor. The three first-order factors for sensing, evaluating, and responding loaded on a second-order factor representing listening. The variance of the second-order factor was fixed at 1, as suggested by Bentler (1992, p. 40) and Jöreskog and Sörbom (1989, p. 160).

The results of our measurement and structural model estimation are shown in Tables 3 and 4. The model had a significant χ^2 (243 *df*) = 591.63 ($p < .001$), which is expected given the large number of variables in our model (Bagozzi and Yi 1988). CFI was .97, NFI was .96, NNFI was .97, and AOSR was .04. These statistics indicated that our model had an acceptable level of fit.

To check for better-fitting, more parsimonious models, we looked at the Lagrange Multiplier test and the Wald test provided by EQS. The Lagrange Multiplier test did not reveal any new paths that could significantly improve our estimated model. But the Wald test indicated that the nonsignificant path between listening and satisfaction could be dropped. Deleting this path and reestimating the model did not show any significant change in the model fit. The estimates of this trimmed model are also shown in Table 4.

In terms of the hypothesized relations, the results show support for all hypotheses except one. The specific results for the hypothesized model are given as follows:

H1: As hypothesized, perceived listening behavior is composed of three dimensions: (a) sensing (std. coeff. = .92, $t = 12.86, p < .001$), (b) evaluating (std. coeff. = .99, $t = 12.13, p < .001$), and (c) responding (std. coeff. = .98, $t = 12.64, p < .001$). Thus H1a, H1b, and H1c are all supported.

H2: A customer's perception of listening behavior is positively related to trust in the salesperson (std.

TABLE 3
Measurement Model Estimates

Factors and Items	*Standardized Estimates*	t-*Value*
Sensing		
SE1	.88f	
SE2	.89**	16.29
SE3	.64**	9.38
SE4	.61**	8.95
Evaluating		
EV1	.79f	
EV2	.37**	4.86
EV3	.83**	12.27
EV4	.63**	8.67
EV5	.37**	4.74
Responding		
RE1	.82f	
RE2	.84**	13.36
RE3	.86**	13.69
RE4	.89**	14.63
Customer's trust in salesperson		
TR1	.76f	
TR2	.91**	12.76
TR3	.90**	12.62
TR4	.85**	11.83
Customer's satisfaction with salesperson		
SA1	.81f	
SA2	.97**	16.33
SA3	.95**	15.87
Customer's anticipation of future interaction		
FI1	.97f	
FI2	.87**	20.73
FI3	.98**	36.91
FI4	.96**	33.72

NOTE: f parameter fixed to a value of 1.00 (unstandardized) to set the scale.
**$p < .001$.

coeff. = .71, t = 8.30, $p < .001$), providing support for H2.

H3: A customer's perception of listening behavior is not significantly related to satisfaction with the salesperson (std. coeff. = .10, t = 1.39, $p > .05$). H3 is not supported.

H4: A customer's perception of listening behavior is positively related with the anticipation of future interaction with the salesperson (std. coeff. = .24, t = 3.42, $p < .001$), supporting H4.

H5: A customer's trust in the salesperson is positively related to satisfaction with the salesperson (std. coeff. = .79, t = 8.04, $p < .001$), providing support for H5.

H6: A customer's trust in the salesperson is positively related to the anticipation of future interaction with the salesperson (std. coeff. = .31, t = 2.66, $p < .01$), providing support for H6.

H7: A customer's satisfaction with the salesperson is positively related to the anticipation of future interaction with the salesperson (std. coeff. = .38, t = 3.70, $p < .001$), providing support for H7.

TABLE 4
Structural Model Estimates[a]

Structural Paths	*Hypothesized Model*	*Trimmed Model*
Components of listening[b]		
(H1a) Listening → sensing	.92 (12.86)**	.92 (12.86)**
(H1b) Listening → evaluating	.99 (12.13)**	.99 (12.13)**
(H1c) Listening → responding	.98 (12.64)**	.98 (12.59)**
Outcomes of listening		
(H2) Listening → trust	.71 (8.31)**	.71 (8.43)**
(H3) Listening → satisfaction	.10 (1.39)	—
(H4) Listening → future interaction	.24 (3.42)**	.24 (3.33)**
Interrelationships between outcomes		
(H5) Trust → satisfaction	.79 (8.04)**	.86 (9.88)**
(H6) Trust → future interaction	.31 (2.66)*	.31 (2.50)*
(H7) Satisfaction → future interaction	.38 (3.70)**	.38 (3.57)**
Goodness-of-fit indices		
Degrees of freedom	243	244
Chi-square	591.63**	591.68
Comparative fit index	.97	.97
Normed fit index	.96	.96
Nonnormed fit index	.97	.97
Average off-diagonal standard residual	.04	.04

a. Standardized estimates with t-values in parentheses.
b. Variance of the second-order factor was fixed at 1.00.
*$p < .01$. **$p < .001$.

DISCUSSION

Our findings suggest that listening is a higher-order construct consisting of three dimensions: sensing, evaluating, and responding. It is intuitively plausible that a salesperson must engage in all three kinds of behaviors to be perceived as an effective listener. The results of our study clearly support the notion that customers' perceptions of salesperson listening behavior play a pivotal role in enhancing relational outcomes. In a business era where building lasting relationships is critical, the knowledge that a communication skill can affect these relationships is indeed useful to practitioners and academics.

Our study shows that there is a strong, positive association between listening perceptions and trust in the salesperson. When customers feel that a salesperson is listening to what they are saying, it enhances their trust in that salesperson. Our results also show that perceptions of listening have a significant positive effect on a customer's anticipation of future interaction with that salesperson. As many businesses have learned, retaining existing customers is more efficient than getting new ones. Contrary to expectations, perceived salesperson listening behavior does not have a significant direct effect on customer satisfaction. There is, however, a significant indirect effect of perceived listening on satisfaction through trust (std. coeff. = .56, $p < .001$). This highlights the importance of trust as a mediating variable and suggests that perceived salesperson listening enhances customer satisfaction indirectly by building trust.

With respect to the interrelationships between the outcome variables, our results show that customers' trust in a

salesperson leads to greater satisfaction with that salesperson. When customers feel that a salesperson is honest and sincere, they are likely to be satisfied in their dealings with him or her. Similarly, trust in the salesperson increases customers' anticipation of future interaction with that salesperson. Customers who trust a salesperson would want to deal with him or her again. Finally, our results indicate that customers' satisfaction with a salesperson leads to a greater anticipation of future interaction with that salesperson.

Managerial Implications

These findings should be extremely relevant to sales managers. It has often been said that listening is an important aspect of the negotiation process (cf. Karrass 1983). Negotiation requires listening, and listening can serve as an inexpensive concession to the other party (Karrass 1983). The significance of active listening in building buyer-seller relationships has substantial implications for the negotiation process.

Our findings also have implications for the recruitment and training of sales personnel. During the recruiting process, an attempt can be made to identify those candidates with good listening skills. The salesperson who asks what the customer needs, listens to the response, and creatively provides a solution will build a better relationship with customers that could be beneficial to the business. Therefore, tests for assessing listening skills should be incorporated in the interview process. Observing potential candidates' listening behaviors could be advantageous.

It seems clear from bodies of literature that listening can be taught and learned. Listening is a skill that can and should be constantly improved (Senne 1988). Sales personnel can be taught to solve problems better (Guilford 1972) and improve their creativity to process divergent information gained through listening. Problem solving is, to some extent, dependent on one's knowledge base and scripts (Leigh and McGraw 1989), which links it back to listening.

The training program should attempt to concentrate on the three dimensions of listening. Sensing could be improved by focusing on sensitivity and concentration. Evaluating requires the ability to dissect the message and accurately determine the meaning. Perhaps an increase in the knowledge base of the salesperson would be helpful. This could be accomplished by adding scripts and cues to the salesperson's repertoire. Finally, responding might benefit from better verbal communication skills and by learning to be more adaptive and patient. All these skills could be taught through role-playing and various other training tools.

Training for active listening should not only be taught to sales personnel during the initial sales training period but throughout the sales career. This ongoing development should be integrated into the entire socialization process (Dubinsky, Howell, Ingram, and Bellenger 1986) of sales personnel, as well as sales managers. Sales managers often interact with clients, so their listening skills should be well honed, but they also need to listen well to their salespeople (Louden 1991). Listening can help managers solve employee problems and build stronger relationships with their clients and subordinates (Powell 1983).

Sales managers should also develop motivations for their salespeople so that they will want to listen. As suggested by Covey (1989), "Knowing I need to listen and knowing how to listen is not enough. Unless I want to listen, unless I have the desire, it won't be a habit in my life. Active listening requires effort, energy, and hard work" (p. 47).

Limitations

The results of our study need to be viewed in light of its limitations. We have only investigated the customers of one company in the automotive industry. This restricts the applicability of our results to a single industry. Both our listening scale and model need to be validated in other industries before generalizations can be made.

Memory effects and halo effects are common problems in most research, and they are a limitation of this study too. Even though we found no differences in the two extreme groups of respondents based on recency of purchase, the potential for error due to the time lag between the sales interaction and the survey response cannot be ruled out. Similarly, halo effects (based on trust and satisfaction) could have potentially biased the customers' perceptions of salesperson listening behavior. Even though we found a significant correlation between customers' scores of salesperson listening behavior and salespeople's self-assessed listening scores, halo effects should not be ruled out.

The purpose of our study was to show the impact of perceived salesperson listening behaviors on relationship outcomes—not to propose a model of consumer automotive purchasing. A number of other factors (e.g., the brand, price, financing, reputation, dealer's location, customer's loyalty to dealer) that were not considered in our study can affect the outcome variables. These factors must be kept in mind when interpreting the results of our study.

We positioned salespeople's listening behavior in a relationship context, primarily because listening should help build sound relationships. But our findings also need to be tested in a transactional marketing context and with nonbuyers. Even for a one-time buying situation, an effective salesperson must listen and fulfill the customer's needs to consummate the exchange.

Attempting to position any variables in a relationship model is tenuous at best. A relationship is a very dynamic process in which all the variables are constantly changing. The static nature of our study may not capture this effectively. Finally, even though we have used the structural equations method, interpretation of causality between the constructs should be treated with caution.

Directions for Future Research

Listening and customer understanding are complex processes (Castleberry and Shepherd 1993; Steil 1980), and our study has barely scratched the surface of research that needs to be completed. Because there are so many possible avenues, we will very briefly touch on several that we see as the most critical.

In the area of information processing, there are several interesting and potentially fruitful areas for research. Are salespeople with more evaluative cues and more interconnections better listeners? Does listening create the cues and connections (Szymanski and Churchill 1990)? How do different levels of listening affect the perceived behavior and the resulting customer understanding? Reflective processing (the deepest level of information processing) is dependent on intellectual abilities (Goss 1982). Are there, then, salespeople who will not be intellectually capable of engaging in effective listening and problem solving? How is the information obtained in the listening process integrated with prior knowledge, as well as information gained from other communication processes, to effectively evaluate clients' needs?

What are the antecedents or consequences of listening beyond what our study investigated? Empathy (Stettner 1988), motivation or desire to listen (Nichols 1957), locus of control for affiliation (Lefcourt, Martin, Fick, and Saleh 1985), personality factors (Boreham 1984), intelligence (Goss 1982), communication confidence (Clark 1989), and adaptability (Spiro and Weitz 1990) have all been hypothesized to affect listening but are yet to be tested in a model in the sales field. Possible outcomes could be improved negotiation and persuasion skills (Nichols 1987), increased self-confidence (Covey 1989), better sales performance (Swan, Rink, and Roberts 1988), and job satisfaction (Brown and Peterson 1994).

It is intuitively appealing that salesperson listening behaviors would allow for adaptive selling behavior (Weitz, Sujan, and Sujan 1986). Issues such as what levels of listening and adaptability are required through the different selling stages or how listening and adaptability interact with salesperson's knowledge structures and how salespeople adapt to listening barriers should be studied.

Finally, what is the role of the customer in promoting effective salesperson listening? All customers are different. Some are aggressive and want to show off their knowledge about the product they want to buy. In such a situation, it may be prudent for the salesperson just to keep listening to them. Other customers may be more passive or even uncertain about what they want. Consequently, the salesperson may have to draw them out to assess their needs effectively. Therefore, it seems that the personality and communication style of customers may also play an important role in determining salespeople's listening behavior.

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APPENDIX
Scale Items

1. Components of listening
   A. Sensing (coefficient alpha = .80)
      SE1. Focused only on me.
      SE2. Kept firm eye contact.
      SE3. Nonverbal gestures suggested he or she was listening to me.
      SE4. Seemed bored.[a]
   B. Evaluating (coefficient alpha = .64)
      EV1. Asked for more details.
      EV2. Paraphrased my questions.
      EV3. Didn't interrupt me.
      EV4. Changed subject too frequently.[a]
      EV5. Tried hard to understand what I was saying.
   C. Responding (coefficient alpha = .91)
      RE1. Used full sentences instead of saying yes or no.
      RE2. Offered relevant information to the questions I asked.
      RE3. Showed eagerness in his or her responses.
      RE4. Answered at appropriate times.
2. Customer's trust in salesperson (coefficient alpha = .90)
   TR1. This salesperson was friendly and approachable.
   TR2. This salesperson was sincere.
   TR3. This salesperson was honest.
   TR4. I felt very little risk was involved when dealing with this salesperson.
3. Customer's satisfaction with salesperson (coefficient alpha = .93)
   SA1. The amount of contact I have had with this salesperson was adequate.
   SA2. I am satisfied with the level of service this salesperson has provided.
   SA3. In general, I am pretty satisfied with my dealings with this salesperson.
4. Customer's anticipation of future interaction with salesperson (coefficient alpha = .97)
   FI1. It is probable that I will contact this salesperson again.
   FI2. I am willing to discuss business with this salesperson again.
   FI3. I plan to continue doing business with this salesperson.
   FI4. I will purchase from this salesperson again.

NOTE: All scales are 7-point Likert scales, with 1 = *strongly disagree* to 7 = *strongly agree*.
a. Reverse-scored item.

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